

PHOTOS BY **HEMANT MISHRA**

a credible alternative in our global supply chains, with manufacturing exports becoming more diverse and globally competitive.

Then there is financial quality—our strongest manufacturers, and that can be seen in the study as well, are not just growing revenues but delivering higher returns, healthier balance sheets and stronger cash generation, reflecting good operational discipline.

And finally, there is a Global South opportunity, where India can become an engine of demand for manufacturing and innovation, supplying affordable products and industrial capabilities.

Where the ambition remains unfinished is domestic value addition. Much of the growth has come from assembly and capacity creation, but deeper localisation of components, materials and supply ecosystems is still evolving. Apart from this, the manufacturing sector's contribution to GVA has broadly remained flat—17.2% in FY14 and 17.5% in FY24. So, in 10 years, there has

not really been the kind of expansion at the scale that was originally envisaged.

Third is the value unlock. The next decade will be defined less by creating more factories and more by unlocking productivity through R&D, design, intellectual property and higher-value manufacturing.

The opportunity now is to move from being a competitive production base to becoming a globally significant, value-creating economy.



What needs to change to move from an assembly-led model to a deeper self-sustained manufacturing ecosystem in India?

A couple of things. India needs to have greater domestic value addition to build its own deeper manufacturing ecosystem. The encouraging sign is that productivity is improving. The companies analysed in the study show that earnings have grown faster than sales and

assets, suggesting that manufacturers are becoming more efficient, more profitable and better at deploying capital. But value addition remains uneven. Even in sectors like electronics, which is a remarkable success, domestic value addition is still estimated at 18-20%. This highlights that a sizable portion of the value chain, from components and materials to design and intellectual property, continues to sit outside India.

Another key element is strategic autonomy. It is important that we have areas where we are completely independent, build everything, and certain areas where we are strategic and have collaborations with countries with resilient supply chains.

Both are needed because you cannot change things overnight. It is a long journey, and no one country has all the components.

To move towards a deeper manufacturing ecosystem requires a shift on four fronts. First is building complete industrial value chains by localising components,